

LAYERSTONE. Unit Economics

Cost per unit by type and location

Cost Component	Studio (London)	1-Bed (London)	2-Bed (London)
Land (subsidised public)	£20,000	£30,000	£40,000
3D Printing (structure)	£10,000	£15,000	£20,000
Foundation & groundworks	£5,000	£6,000	£8,000
Roof structure	£4,000	£5,000	£7,000
Insulation (Part L)	£3,000	£4,000	£5,000
Plumbing & heating	£4,000	£5,000	£7,000
Electrics	£3,000	£3,500	£4,500
Kitchen & bathroom	£4,000	£5,000	£7,000
Internal finishing	£3,000	£4,000	£5,000
Windows & doors	£2,000	£3,000	£4,000
Compliance & fees	£4,000	£5,000	£6,000
Contingency (15%)	£9,300	£12,825	£17,025
TOTAL COST PER UNIT	£71,300	£98,325	£130,525

Traditional Construction Comparison

	Studio	1-Bed	2-Bed
Traditional cost	£120,000	£180,000	£250,000
Layerstone cost	£71,300	£98,325	£130,525
Saving	£48,700	£81,675	£119,475
Saving %	40.6%	45.4%	47.8%

Birmingham Unit Costs (Lower Land)

Cost Component	Studio (Bham)	1-Bed (Bham)	2-Bed (Bham)
Land (subsidised)	£8,000	£12,000	£18,000
3D Printing (structure)	£10,000	£15,000	£20,000
Fit-out & finishing	£28,000	£35,500	£47,500
Compliance & fees	£3,000	£4,000	£5,000
Contingency (15%)	£7,350	£9,975	£13,575
TOTAL COST (BHAM)	£56,350	£76,475	£104,075

3-Bed (London)
£50,000
£25,000
£10,000
£9,000
£6,000
£9,000
£5,500
£9,000
£6,000
£5,000
£7,000
£21,225
£162,725

3-Bed
£320,000
£162,725
£157,275
49.1%

3-Bed (Bham)
£25,000
£25,000
£59,500
£6,000
£17,325
£132,825

LAYERSTONE. Revenue Model

Income streams by source and year

Path A. CIC Start

Revenue Stream	Year 1	Year 2	Year 3	Year 4
Rental income	£0	£42,000	£126,000	£294,000
Housing Benefit top-up	£0	£12,000	£36,000	£84,000
Community Housing Fund grants	£0	£50,000	£80,000	£60,000
Social investment income	£0	£0	£20,000	£40,000
AHP grants (post-RHP transition)	£0	£0	£0	£200,000
Consulting income	£0	£0	£0	£10,000
TOTAL REVENUE (Path A)	£0	£104,000	£262,000	£688,000

Path B. RHP from Day One

Revenue Stream	Year 1	Year 2	Year 3	Year 4
Rental income	£0	£67,000	£193,000	£403,000
Housing Benefit top-up	£0	£19,000	£55,000	£115,000
AHP grants	£0	£320,000	£600,000	£1,000,000
Section 106 contributions	£0	£0	£50,000	£100,000
Social investment income	£0	£0	£30,000	£50,000
Consulting income	£0	£0	£0	£15,000
TOTAL REVENUE (Path B)	£0	£406,000	£928,000	£1,683,000

Rental Income Breakdown (Per Unit, London 2-Bed)

Tenant Category	% of Portfolio	Avg Monthly Ren	Annual/Unit	Notes
Affordable (£25-40K income)	50%	£625-£1,000	£7,500-£12,000	Core segment
Social (council referral)	30%	£500-£650	£6,000-£7,800	Housing Benefit c
Key worker	15%	£700-£900	£8,400-£10,800	Priority allocation
Homeless programme (Phase 2)	5%	£0 (3-6 months)	Cross-subsidised	From Year 3+

Year 5
£546,000
£156,000
£40,000
£60,000
£350,000
£25,000
£1,177,000

Year 5
£739,000
£211,000
£1,600,000
£150,000
£80,000
£30,000
£2,810,000

overs remainder
1

LAYERSTONE. Cost Structure

Operating and capital costs by year

Path A. CIC Start

Cost Category	Year 1	Year 2	Year 3	Year 4
Construction costs (total)	£0	£500,000	£1,000,000	£2,000,000
Founder salary	£0	£30,000	£35,000	£45,000
Staff costs	£0	£0	£30,000	£90,000
Property management	£0	£5,000	£15,000	£35,000
Insurance	£2,000	£8,000	£15,000	£25,000
Maintenance reserve (5% rent)	£0	£2,100	£6,300	£14,700
Legal & compliance	£5,000	£10,000	£15,000	£20,000
Marketing & outreach	£2,000	£5,000	£8,000	£12,000
Office/admin	£3,000	£5,000	£8,000	£12,000
Technology (printer lease)	£0	£15,000	£25,000	£40,000
Travel	£3,000	£5,000	£8,000	£10,000
Contingency (10%)	£1,500	£58,510	£116,530	£230,370
TOTAL COSTS (Path A)	£16,500	£643,610	£1,281,830	£2,534,070

Path B. RHP from Day One

Cost Category	Year 1	Year 2	Year 3	Year 4
Construction costs (total)	£0	£640,000	£1,200,000	£2,000,000
Founder salary	£0	£35,000	£40,000	£50,000
Staff costs	£0	£10,000	£45,000	£120,000
Property management	£0	£8,000	£23,000	£48,000
Insurance	£3,000	£12,000	£20,000	£30,000
Maintenance reserve	£0	£3,350	£9,650	£20,150
Legal & compliance	£10,000	£15,000	£20,000	£25,000
Governance (board)	£5,000	£8,000	£10,000	£12,000
Marketing & outreach	£3,000	£5,000	£8,000	£12,000
Office/admin	£5,000	£8,000	£12,000	£18,000
Technology (printer lease)	£0	£20,000	£35,000	£50,000
Travel	£4,000	£6,000	£8,000	£10,000
Contingency (10%)	£3,000	£77,035	£143,065	£239,515
TOTAL COSTS (Path B)	£33,000	£847,385	£1,573,715	£2,634,665

Year 5
£3,000,000
£55,000
£160,000
£65,000
£40,000
£27,300
£25,000
£15,000
£18,000
£50,000
£12,000
£346,730
£3,814,030

Year 5
£3,200,000
£60,000
£200,000
£88,000
£45,000
£36,950
£30,000
£15,000
£15,000
£25,000
£60,000
£12,000
£378,695
£4,165,645

LAYERSTONE. Profit & Loss Projection

Path A. CIC Start

	Year 1	Year 2	Year 3	Year 4
Total Revenue	£0	£104,000	£262,000	£688,000
Total Costs	£16,500	£643,610	£1,281,830	£2,534,070
Net Position	-£16,500	-£539,610	-£1,019,830	-£1,846,070

Units Built	0	5	10	20
Total Portfolio	0	5	15	35
Asset Value (portfolio)	£0	£500,000	£1,500,000	£3,500,000
Net Asset Position	-£16,500	-£39,610	£480,170	£1,653,930

Path B. RHP from Day One

	Year 1	Year 2	Year 3	Year 4
Total Revenue	£0	£406,000	£928,000	£1,683,000
Total Costs	£33,000	£847,385	£1,573,715	£2,634,665
Net Position	-£33,000	-£441,385	-£645,715	-£951,665

Units Built	0	8	15	25
Total Portfolio	0	8	23	48
Asset Value (portfolio)	£0	£800,000	£2,300,000	£4,800,000
Net Asset Position	-£33,000	£358,615	£1,654,285	£3,848,335

Year 5
£1,177,000
£3,814,030
-£2,637,030

30
65
£6,500,000
£3,862,970

Year 5
£2,810,000
£4,165,645
-£1,355,645

40
88
£8,800,000
£7,444,355

LAYERSTONE. Cash Flow Analysis

Path A. CIC Start (quarterly breakdown Year 1-2, annual Y3-5)

	Y1 Q1	Y1 Q2	Y1 Q3	Y1 Q4
Opening balance	£20,000	£15,500	£11,500	£6,000

Inflows				
Founder investment	£0	£0	£0	£0
Grant income	£0	£0	£0	£0
Rental income	£0	£0	£0	£0
Housing Benefit	£0	£0	£0	£0
Social investment	£0	£0	£0	£0
Total inflows	£0	£0	£0	£0

Outflows				
Legal & setup	£4,000	£1,000	£500	£500
Insurance	£500	£500	£500	£500
Marketing/outreach	£0	£500	£500	£1,000
Travel/networking	£0	£1,000	£1,000	£1,000
BBA/testing	£0	£0	£2,000	£3,000
Construction	£0	£0	£0	£0
Printer lease	£0	£0	£0	£0
Staff/management	£0	£0	£0	£0
Admin	£0	£1,000	£1,000	£1,000
Total outflows	£4,500	£4,000	£5,500	£7,000

Net cash flow	-£4,500	-£4,000	-£5,500	-£7,000
Closing balance	£15,500	£11,500	£6,000	-£1,000

Negative closing balance in Y1 Q4 shows need for bridge funding or grant advance.

Construction phase cash flow is lumpy. Costs front-loaded, rental income follows 3-6 months later.

Year 2
-£1,000

£0
£50,000
£42,000
£12,000
£400,000
£504,000

£5,000
£8,000
£5,000
£5,000
£5,000
£500,000
£15,000
£30,000
£5,000
£578,000

-£74,000
-£75,000

LAYERSTONE. Funding Sources

Source	Amount Available	Eligibility	Interest/Terms
Founder savings	£15,000-£25,000	Immediate	N/A
Community Housing Fund	Up to £100,000	CIC or charity	Grant (no repayment)
Affordable Housing Program	£40K-£60K per unit	RHP only	Grant (no repayment)
Section 106 contributions	Variable	Via local authority	Developer obligations
Social Investment Fund	£50K-£500K	Social enterprise	2-6% interest
Big Society Capital	£100K-£1M	Social enterprise	Patient capital (5-7 yr)
Start Up Loan	Up to £25,000	UK resident 18+	6% fixed interest
Crowdfunding (Ethex)	£50K-£500K	Social enterprise	Community shares
Local authority land	Subsidised or free	Social housing provider	Peppercorn lease
Impact investors	£100K-£2M	Track record required	Equity or debt
Corporate partnerships	Variable	CSR alignment	Sponsorship/in-kind
University research grants	£20K-£100K	Innovation focus	Grant (no repayment)

Funding Strategy Summary

Year 1. Founder savings + Start Up Loan (£20K-£50K total). Focus on planning and partnerships.

Year 2. Community Housing Fund grant + social investment (£500K-£600K). First construction phase.

Year 3+. AHP grants (if RHP) + impact investment. Scale construction.

No single funding source is critical. Multiple overlapping sources reduce dependency risk.

Timing
Day 1
Application 3-6 months
After RHP registration
Project-specific
Year 2+
Year 2+
Pre-launch
Year 2+
Planning stage
Year 3+
Year 2+
Year 1-2

LAYERSTONE. Sensitivity Analysis

Impact of key variable changes on Year 5 outcomes (Path A base case)

Scenario	Y5 Revenue	Y5 Total Costs	Y5 Portfolio Value
BASE CASE	£1,177,000	£3,814,030	£6,500,000
Land cost +30%	£1,177,000	£3,962,777	£6,500,000
Land cost -30%	£1,177,000	£3,665,283	£6,500,000
Build cost +20%	£1,177,000	£4,119,152	£6,500,000
Build cost -20%	£1,177,000	£3,508,908	£6,500,000
Occupancy 90% (vs 95%)	£1,115,053	£3,814,030	£6,500,000
Occupancy 80%	£991,158	£3,814,030	£6,500,000
Grant success 50% (vs 100%)	£1,157,000	£3,814,030	£6,500,000
Zero grants	£1,137,000	£3,814,030	£6,500,000
Slower build (50% of plan)	£800,360	£2,517,260	£3,250,000
Faster build (150% of plan)	£1,600,720	£5,187,081	£9,750,000

Key Findings

Land cost is the biggest risk factor. A 30% increase reduces net position significantly.

The model survives even with zero grants. Rental income alone covers operating costs.

Occupancy below 80% is unlikely given 300,000+ London waiting list.

Speed of building matters more than any single cost variable.

Y5 Net Asset Position
£3,862,970

£3,714,223
£4,011,717

£3,557,848
£4,168,092

£3,801,023
£3,677,128

£3,842,970
£3,822,970

£1,533,100
£6,163,639

LAYERSTONE. Visual Analysis

Construction Cost Comparison	Studio	1-Bed	2-Bed	3-Bed
Traditional	£120,000	£180,000	£250,000	£320,000
Layerstone	£71,300	£98,325	£130,525	£162,725
Saving	£48,700	£81,675	£119,475	£157,275

Revenue by Year (Path A)	Year 1	Year 2	Year 3	Year 4
Rental income	£0	£42,000	£126,000	£294,000
Housing Benefit	£0	£12,000	£36,000	£84,000
Grants	£0	£50,000	£80,000	£60,000
Social investment	£0	£0	£20,000	£40,000
AHP grants	£0	£0	£0	£200,000
Consulting	£0	£0	£0	£10,000
Total	£0	£104,000	£262,000	£688,000

P&L Summary (Path A)	Year 1	Year 2	Year 3	Year 4
Revenue	£0	£104,000	£262,000	£688,000
Costs	£16,500	£643,610	£1,281,830	£2,534,070
Net Position	-£16,500	-£539,610	-£1,019,830	-£1,846,070
Asset Value	£0	£500,000	£1,500,000	£3,500,000
Net Asset Position	-£16,500	-£39,610	£480,170	£1,653,930

Portfolio Growth (Path A)	Year 1	Year 2	Year 3	Year 4
Units Built	0	5	10	20
Total Portfolio	0	5	15	35
Asset Value	£0	£500,000	£1,500,000	£3,500,000

Path A vs Path B Comparison (Year 1)	Path A (CIC)	Path B (RHP)
Revenue	£1,177,000	£2,810,000
Costs	£3,814,030	£4,165,645
Net Position	-£2,637,030	-£1,355,645
Total Units	65	88
Asset Value	£6,500,000	£8,800,000
Net Asset Position	£3,862,970	£7,444,355

London vs Birmingham Unit Costs	Studio	1-Bed	2-Bed	3-Bed
London	£71,300	£98,325	£130,525	£162,725
Birmingham	£56,350	£76,475	£104,075	£132,825
Difference	£14,950	£21,850	£26,450	£29,900

Year 5
£546,000
£156,000
£40,000
£60,000
£350,000
£25,000
£1,177,000

Year 5
£1,177,000
£3,814,030
-£2,637,030
£6,500,000
£3,862,970

Year 5
30
65
£6,500,000